Quillon Harbor Advisors LLC

www.quillonharbor.com

March 10, 2015

James Jones
Chief Financial Officer
Morse PLC

Dear Mr. Jones:

Thank you for the conversations that brought us to this letter, and for the candor with which you and your colleagues described what Morse PLC hopes to find. We are glad to confirm that you have asked Quillon Harbor Advisors to run a buy-side search on your behalf, and because the commercial terms are what your board will read first, we have set them out at the top and described the work after them.

The Terms of Our Engagement

Our fee for the search is $82,000. It is a fixed fee covering the whole of the work this letter describes, and it does not depend on whether Morse PLC goes on to complete an acquisition, which we believe is the right arrangement for advice that may, in the end, include a recommendation not to buy.

The engagement will begin on March 20, 2015, and we expect it to run for about six months from that day, which in our experience is the time a search of this kind needs to travel from a map of the field to offers that Morse PLC is ready to make. If the search leads to a transaction that you would like us to carry through to signing, we would set out that further work and its terms in a separate letter, so that nothing in this one has to be stretched to cover it.

The Search, and the People Who Will Run It

The work begins with a map. We will assemble a universe of 140 candidate companies drawn from the profile we have discussed with you, independent testing, inspection and calibration businesses that serve manufacturers, and we will screen that universe against criteria that you and your board approve before any company hears from us. The screen will give us a short list, and we will agree with you the order in which its owners are approached.

Alongside the map we will assemble a set of comparable transactions in the sector and in the services around it, so that when an owner first asks what a buyer might pay, your board already has a considered view of what businesses of this kind have changed hands for. That work will be revisited as the conversations teach us more, and we will tell you where the evidence is thin.

Most of the owners we will be calling founded the businesses they run, and few of them have given serious thought to selling, so the first conversation with each of them matters more than any document we will produce. Every approach will be made by telephone by one of our senior people, describing your company in terms you have approved and without your name, and an owner who wishes to go further will sign a confidentiality agreement before learning who our client is or sharing anything of substance about the business. From those conversations we will help you decide which companies merit an offer, and we will support you in framing and delivering each one.

Richard Mccoy, a Director of the firm, will lead the search day to day and will make most of the calls to owners himself; he is the person to telephone about anything of substance. Melissa Jacobson, an Analyst, will build the universe and the company profiles behind it and will keep the record of every contact we make, so that at any point you can see where each company stands. I will read everything that leaves this firm under our name, whether it goes to you or to an owner, and I will remain available to you directly for the length of the engagement.

We will report to you in writing at the natural turning points of the search and by telephone in between. When the field tells us something unwelcome about price, appetite or timing, you will hear it from us early and in plain terms.

Payment and Expenses

We will invoice the fee when the engagement begins, and our invoices are payable on receipt. Reasonable out-of-pocket expenses, chiefly travel to meet owners and the cost of any industry data we license for this search, are billed at cost in addition to the fee, and anything material we will agree with you before it is incurred.

Term and Termination

This engagement runs from the start date above for about six months and may be extended by a short letter signed by both of us if the search needs more time. Either of us may end it at any point by written notice to the other; if Morse PLC ends it, the fee already invoiced and the expenses already committed on your behalf remain payable, and nothing further is owed.

Confidentiality

We will hold in confidence everything we learn about Morse PLC and its plans, and we will use it for this search alone. In any paper that circulates beyond your team and ours, candidate companies will be described by sector and size and not by name, and an owner will learn who our client is only after signing a confidentiality agreement and only with your approval. We ask the same discretion of you in return, since most of the owners we speak with will be discussing a company they have never before offered for sale.

Limitation of Liability

We will carry out the work with the care and skill you are entitled to expect of an adviser in our position, but the decision whether to pursue, price or complete any acquisition rests with Morse PLC and its board. Our aggregate liability arising out of this engagement is limited to the fees paid to us under it, except where the law does not permit such a limit, and you agree to indemnify us against claims by third parties arising from the search, other than claims caused by our own negligence or misconduct.

Governing Law

This letter is governed by the laws of the state in which our principal office is located, and any dispute arising under it will be resolved in the courts of that state. If any provision is found unenforceable, the remainder of the letter continues in effect.

If this letter reflects your understanding, please sign both copies and return one to me. Once we have it back, Richard Mccoy will send you a draft of the screening criteria for your board's review, and that approval is the first thing the search will need from you.

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Heather Delacruz
Managing Partner
Date: March 10, 2015

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James Jones
Chief Financial Officer, Morse PLC
Date: March 10, 2015